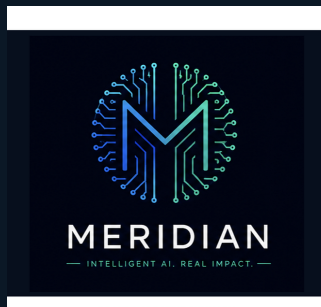




Arcade Trader

Full Strategic Report -- Seven Managers

Complete Meridian analysis across all seven intelligence domains

Prepared for John Lynch

PRIVATE AND CONFIDENTIAL

EXECUTIVE SUMMARY

Arcade Trader has a real base -- industry knowledge, engineering capability, machine sales and used-machine trading, European trading experience -- but a thin digital footprint and a business that depends on lumpy, one-off equipment sales. This report sets out the full Meridian analysis across all seven intelligence domains: commercial and market, legal and regulatory, business transformation, property and pipeline, AI strategy, and investment and value-building.

- 1. Pivot from reseller to a recurring-revenue services company** -- equipment plus installation plus contracted maintenance plus refurbishment plus trade-in plus cashless retrofit plus design consultancy. This is the single biggest lever available: it smooths lumpy income and materially increases what the business is worth.
- 2. Turn the regulatory upheaval into the sales pitch.** Ireland's gambling and amusement regime is being rebuilt. The supplier who arrives regulation-aware has a stronger proposition than one who simply sells machines.
- 3. A live, verified lead exists now** -- a newly permitted arcade in Midleton, Coalquay Leisure, at fit-out stage, plus a second strong lead in Killarney.
- 4. The binding constraint is the single owner.** Every domain of this analysis, commercial, operational and financial, converges on the same point: the business is one person deep, and that has to change for the pivot to scale and for the business to be worth more.

This report is structured exactly as Meridian is structured: seven domain managers, each producing a verified, source-tagged analysis, consolidated into one document. Status labels and verification flags are carried through so John Lynch can see exactly what is confirmed, what is estimated, and what still needs his own numbers.

Manager 1 -- Commercial and Market Intelligence

The market (verified)

The Irish sector splits three ways, with real named operators in each: **seaside arcades** (Tramore, Sands Bundoran, Pirates Cove Courtown, Seapoint Salthill); **family entertainment centres** (Leisureplex; Funtasia, Drogheda -- local); and **adult gaming venues** (Dr Quirkey's Dublin, Silver Strand Bray).

The real competitive set

- **Tobyco / Arcade Machines (Wexford)** -- in coin-op since 1984, all-Ireland coverage, 7-day support. The closest direct analogue.
- **Game Amusements (Lisburn, NI)** -- already markets supply-plus-maintenance across NI and RoI; already claims the position Arcade Trader is aiming at.
- Plus the upstream tier Arcade Trader buys from: Bandai Namco Amusement Europe, Sega Amusements Europe, Electrocoin, Moss Distributing.

White space: incumbents already do break-fix. The under-occupied space is **structured, contracted, recurring service** -- SLA-backed maintenance, planned refurbishment, cashless retrofits, single-supplier managed relationships -- by an Irish specialist.

The strategic move: reseller to recurring services

Low-conceptual-risk, because it monetises an installed base and engineering capability Arcade Trader already has. It fixes the lumpy-sales risk; it lifts enterprise value; and it is defensible on local response time UK/EU suppliers cannot match.

Revenue lines in priority: (1) **maintenance/service contracts and spares** (first, most important); (2) **refurbishment and trade-in** (fast-follow, capital-light); (3) **cashless retrofit** (rides the strongest trend); (4) **design/consultancy** for new venues (the wedge that wins the fit-out); (5) **managed/revenue-share placement** (highest value but capital-intensive -- hold for later).

Illustrative economics (ESTIMATE -- needs John Lynch's real numbers): a per-machine maintenance contract ~EUR 900-1,600/yr at ~55-65% margin; a per-venue relationship ~EUR 15,000-45,000/yr. Shapes to show the compounding logic of recurring revenue, not quotes.

Manager 2 -- Legal and Regulatory Intelligence

The fault line: amusement vs gaming machine

- **Amusement machine** -- replay or non-monetary prize (Revenue threshold ~EUR 7). Lighter excise permit regime, largely outside heavy gambling controls.
- **Gaming machine** -- a money prize. Gambling: local-authority Part III adoption plus District Court certificate plus Revenue gaming licence; max stake EUR 5, max prize EUR 500 (2019 Act); min age 18.
- The more a machine pays real money, the deeper into the regime it and its operator fall. This one line should drive product positioning.

The reform: Gambling Regulation Act 2024 and the GRAI

The Act creates the Gambling Regulatory Authority of Ireland (established 5 March 2025) as the single licensing body, replacing the fragmented system. Phased: betting first (2026), **gaming and in-person licensing 2027-2028**. Penalties up to EUR 20m or 10% of turnover. The Act appears to preserve a lighter carve-out for genuine amusement machines.

What it means for Arcade Trader

- The licence sits with the **operator, not the supplier** -- nothing reviewed requires a supplier licence to sell/lease machines today.

- **Key open question:** whether the GRAI B2B phase (2027-2028) will introduce a supplier-side licence/registration. Monitor with GRAI.
- **The opportunity:** be the compliance-aware partner -- machines pre-configured to the EUR 5/EUR 500 limits; cashless, traceable, age-gated equipment; compliance advice. The pitch: "this range keeps you out of the gambling licence regime; this range is GRAI-ready if you want gaming." Turns regulation from threat to sales conversation.

Manager 3 -- Finance and Restructuring

Arcade Trader currently has no separation of revenue by line (equipment sales vs service vs refurbishment), no management accounts beyond year-end filings, and no documented installed-base record. This is a precondition to fix, not a nice-to-have: clean, current financial records are the basic entry ticket for any LEO application, bank facility, or future sale due diligence, and should be established alongside the commercial pivot, not after it.

Priority action: separate equipment sales, service/contract revenue, and refurbishment/trade-in income into distinct tracked lines from day one of the pivot. This single change makes every later financial conversation, funding, valuation, tax, materially easier.

Manager 4 -- Property and Pipeline Intelligence

Midleton arcade -- VERIFIED, warm lead. Gaming/amusement arcade at 54 Main Street and Distillery Lanes, Midleton; applicant **Coalquay Leisure Ltd** (existing East Cork operator); planning ref **25/6968**; granted ~23 Dec 2025. Possible further-information thread -- confirm final status/appeal on the Cork County Council portal. Existing operator means a warm approach, not a cold pitch.

Wider pipeline: Killarney Outlet Centre FEC (COK Property, owner-operated, strong lead); Roxy Ball Room Dublin; Lane7 Dundrum; King Pins Belfast and Hollywood Bowl Banbridge (NI chains, harder to design into -- prioritise the RoI owner-operated venues).

How to win them: design-in at fit-out stage -- get specified into the floor layout and machine mix before the order is placed. The window opens at grant and closes when the fit-out contract is signed (~3-9 months for a build like Midleton). Move on Coalquay now, but see Manager 6 on sequencing -- do not chase both leads at full intensity simultaneously.

Manager 5 -- AI Strategy and Adoption

Realistic AI use cases, ranked by real payback

Nothing here needs a developer or a large budget. Tier 1, do now: **quoting and CRM automation** (Pipedrive/HubSpot with AI-assisted quote drafting), **WhatsApp-based customer support** with AI-drafted replies, and **AI features already inside accounting software** (Xero/QuickBooks/Sage) for invoicing and chasing payment. Tier 2, worth setting up in 3-6 months: maintenance scheduling and dispatch tools once contract volume justifies them. Tier 3, not worth it yet: building custom predictive-maintenance AI -- this requires data volumes Arcade Trader does not have.

The cashless/connected machine data angle

Modern cashless platforms (Embed, Intercard, Sacoa) already give operators machine-level revenue and usage dashboards out of the box. **There is no gap for Arcade Trader to fill with its own analytics product** -- that would duplicate what the hardware vendor already includes. The real opportunity is

interpretation: reviewing an operator's own dashboard data monthly and turning it into plain-English recommendations on which machines to reposition, refurbish or replace. This is a genuine, low-risk consultancy upsell using AI only as a drafting tool.

AI governance and the EU AI Act

Low relevance, not a priority right now. Arcade Trader's activities do not fall into any high-risk category under the EU AI Act. The genuine touchpoint to watch is ordinary GDPR (customer data via WhatsApp/CRM, and confirming who is data processor versus controller in any cashless-vendor contract), not AI-specific regulation.

90-day plan, in brief: days 1-14 set up a CRM and WhatsApp Business with saved replies; days 15-45 draft case studies and a "cashless data review" consultancy offer; days 46-75 trial a scheduling tool and pilot the consultancy offer with one existing client; days 76-90 review what actually saved time before investing further.

Manager 6 -- Business Transformation and Growth

The strategy is sound and already agreed. The risk is not the strategy -- it is that a one-man business tries to build contracted-service delivery, a second technician, a CRM, a new website and two new-business pursuits all in the same 100 days, on top of the trading that already pays the bills. This is how small transformations stall.

What must exist before signing the first contract

- A defined, honest response-time SLA that matches what one technician can actually deliver -- an honoured 48-hour SLA builds more trust than an aggressive same-day promise that gets missed once.
- A minimal customer/machine database for the venue being contracted, and a basic logged-job process so a response time can be tracked and evidenced.
- A parts checklist for that venue's machine types, with stock or a fast supply line confirmed.

Closing the single-owner risk

The realistic path is sequenced, not immediate: a **subcontractor or partner arrangement first** (lowest cost, fastest, most reversible, common practice among small Irish field-service operators), then a part-time or full-time technician once there are roughly 3-5 contracted venues to support it. ESTIMATE: a full-time hire is realistically EUR 36,000-46,000 all-in. Do not over-structure early -- no formal company or equity change is needed at this stage.

The honest load on John Lynch

In year one, John is being asked to run the existing trading business, build a CRM from scratch, stand behind a new SLA, oversee a website build, and pursue two named leads at once. **Pick the warmer, more time-sensitive lead first** (Midleton, given the fit-out timing), let Killarney follow once the first proposal is out, and get outside help for the website and CRM setup rather than doing it all personally. Pace this over 6-12 months, not 100 days.

Manager 7 -- Investment and Value-Building

A buyer or lender is not pricing last year's turnover -- they are pricing how reliable and repeatable that income is. **Recurring, contracted revenue is worth materially more than one-off trading income:** general UK/Ireland SME benchmarks put owner-managed businesses at roughly 3x to 5x EBITDA, with strong recurring-revenue businesses commanding two to three times higher multiples than comparable one-off-sale businesses (general market benchmark, not a valuation of Arcade Trader).

What would make the business fundable or sellable

A recurring contracted revenue base; reduced single-owner dependency; a diversified customer base; clean current financial records; and a properly documented installed base. This is the standard small-business investment-readiness checklist, and the pivot already recommended builds nearly every item on it at once.

Realistic funding routes for this scale

- **Enterprise Ireland is not a fit** at this stage -- it targets high-growth export businesses, and this should be said plainly rather than left as a vague possibility.
- **Louth LEO** (Arcade Trader is Drogheda-based) is the natural first port of call -- Feasibility Study grants (roughly EUR 2,500-15,000) and Trading Online Vouchers fit the digital and validation gaps directly.
- **Microfinance Ireland** -- unsecured loans of roughly EUR 2,000-50,000, around 5.5% APR via a LEO referral, a good fit for stocking cashless-retrofit hardware or a first hire's initial costs.
- **SBCI-backed bank loans** (EUR 25,000 up to EUR 3m) become relevant later, once there are clean accounts and a larger, specific capital need.

The honest bottom line: there is no case for outside equity investment at this stage, and it should not be presented as one. Prove the model first from cash flow -- convert Midleton and Killarney, sign the first contracts, build the installed-base record -- then use small, cheap LEO or Microfinance Ireland support only where it removes a specific bottleneck. That sequence is also exactly what would make the business worth materially more if John Lynch ever wanted to sell it.

Overall Recommendation

Arcade Trader is well positioned to become the Republic's specialist amusement-industry services company: equipment plus refurbishment plus installation plus maintenance plus cashless, with the compliance-aware angle as the differentiator. The near-term moves are clear: launch the recurring-service offer, fix the digital profile, and move on the Midleton and Killarney leads while they are at fit-out. The medium-term work, running through every domain of this analysis, is to give the business depth beyond one person, operationally, financially and in terms of what it is worth, so the pivot can actually scale.

Meridian Intelligence · Arcade Trader full seven-manager strategic report · Verified analysis across Commercial, Legal, Finance, Property, AI Strategy, Business Transformation and Investment · 29 July 2026 · Private and confidential. For John Lynch's direct use.